

# NEW PRODUCT REVIEW FORM DOMESTIC

No : FR/GPD/GPD1-0001

Tgl Berlaku: 10/09/2018

No Rev :

Hal: 1 dari 1

Sent to : Product Development Dept, Marketing DIV.2 Dept Mandom Co., Ltd.

Addressed to : Mrs. Hosokawa, Mrs. Hitsuimoto, Ms. Yamada

## PT Mandom Indonesia Tbk

|              |             |                 |
|--------------|-------------|-----------------|
| *Prepared by | Approved by | Approved by     |
| PIC/CH/SH    | CA/MG/GM    | Prodev Director |
| 02/10/2020   | 02/10/2020  | 20 / OCT / 2020 |
|              |             |                 |
| Ella Intan A | Lumongga P  | Hirokazu Kagami |

When issue NPRF, have to attach MOM(NPM and MSM)

## For use of MCI Product Development Department only

|                                             | Prepared by | Reviewed by | Approved by |
|---------------------------------------------|-------------|-------------|-------------|
| <input checked="" type="radio"/> Registered | /           | /           | /           |
| <input type="radio"/> Changed               |             |             |             |
| <input type="radio"/> Determined            |             |             |             |
| <input type="radio"/> Revised               |             |             |             |

Theme No./Item No.

Theme name/Item name

PIXY COLOUR LIP HYDRATING TREATMENT

Purpose

- (1) ☐ Creation of new market by new proposal
- (2) ☒ Category entry into growing market or giant market
- (3) ☐ Line extension for the existing product group
- (4) ☐ Cost reduction of the existing products (production site transfer)
- (5) ☐ Renewal of existing Products to improve quality

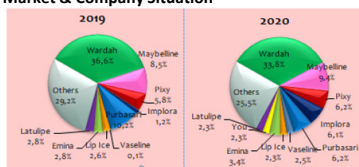
\*Priority point

- (1) ☐ Emphasis on price
- (2) ☒ High quality
- (3) ☐ Other

Launching Date

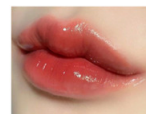
May 2021

## Market & Company Situation



(Source: RMS Data Nielsen Q2 2020)

- The trend of hydrating lip began to be in demand again in 2020, more and more brands released lip products that contain hydrating / moisturizing agent. By using lip hydrating, lips that has problems like chapped or dry will look healthier and moist. During the COVID-19 situation, people tend to use mask every day that can makes their lips dry. With the concept of hydrating treatment with sheer color, Lip Hydrating product will be more comfortable to be used in daily basis, because it hydrate lips and makes lips looks healthy.



## Competitor

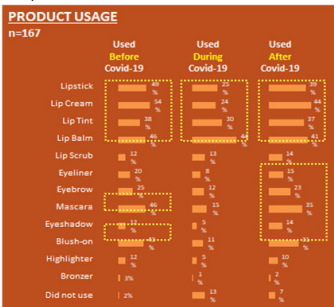
(Source: RMS Data Nielsen Q2 2020)

| Growth YTD Jan-Jun | Market | Wardah | Maybelline | Pixy   | Implora | Purbasari | Vaseline | Lip Ice | Emina  | You     | Latulipe | Others |
|--------------------|--------|--------|------------|--------|---------|-----------|----------|---------|--------|---------|----------|--------|
| 2019               | 17.8%  | 17.2%  | 118.4%     | -7.3%  | 8851.6% | -5.4%     | 310.9%   | -5.2%   | 181.5% | -       | 18.8%    | 10.3%  |
| 2020               | -17.3% | -23.6% | -8.5%      | -12.3% | 335.5%  | -49.3%    | 1861.7%  | -28.1%  | 0.4%   | 1201.8% | -31.9%   | -27.9% |

- Based on RMS Nielsen Data Q2 in YTD Jan-Jun 2020 in decorative lips, there are some brands that still have positive growth : Implora increase growth up to 335,5%, Vaseline 1861,7% Emina 0,4% and YOU at 1201,8%. While other brands have negative growth. Among the growing brands Implora is growing by 3 digits due to its strategy as a new comer playing in lower SES with very cheap price compare to another brands, while Vaseline suddenly appear in lip market in response to the COVID-19 situation, in where consumer are started to care more to lips treatment rather than lip decorative colors.

## Consumer Situation

- Using mask every day tend to be less convinience to some consumers because lipstick stains in face mask, but lips are need moisturizer to keep it looks healthy and not dry.Those factors are some reasons why covid-19 gives quite big impact into consumer new product references during this pandemic.



(Source: Based on Internal Pradev Online Survey W2-W3 June 2020)

- Referring to consumer usage & attitude study [June, 2020]. Before covid-19 pandemic, mostly respondent use lip cream 54%, lipstick 49% and mascara 46%. During covid-19 the use of lip product is decreasing and lip balm is increasing. After covid - 19 it is predicted that the use lip product tend to get back to normal in line with the maintained use of lip balm.
- The used of lip balm before, during and after covid is growing significantly. This is an indicator of an opportunity for PIXY to launch lip hydrating product that has positive trend toward COVID-19 and post COVID-19 situations. This product also could make more chance to grab PIXY new potential consumer.

Market situation / Background of request

|                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                |           |              |                              |                                                                                                                           |        |                |                |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------|-----------|--------------|------------------------------|---------------------------------------------------------------------------------------------------------------------------|--------|----------------|----------------|
|                                     | <b>Target Consumer &amp; Their Wants</b><br><br>➤ CORE TARGET : 20 - 25 y.o., SES : Middle Segment<br>➤ CHARACTERISTIC : Makeup Conscious and trend followers.<br>➤ Wants & Needs : During this COVID-19 situation, consumers use mask everyday that can make their lips dry. They want to keep their lips hydrate and have a fresh look.                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                |           |              |                              |                                                                                                                           |        |                |                |
| Target                              | Consumer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | (1) Male                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | (2) <input checked="" type="checkbox"/> Female | Age group | 20-25 y.o    | Social Economic Class        | Middle Segment                                                                                                            |        |                |                |
| Proposed concept                    | Series Concept                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | PIXY Lip Juice, a Lip Hydrating Liquid that instantly hydrates lips with smooth feeling after first apply. The rich fruity color pigment gives natural fresh yet transparent look to give a fresh healthy looking lips. Experiencing the real beauty lip care product as often as you want without worrying of getting oily nor sticky feeling. Suitable for daily use at anytime.                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                |           |              |                              |                                                                                                                           |        |                |                |
|                                     | Item concept                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | <div><div><div><div>- Instance Hydration<br/>- Smooth Feeling on lips<br/>- Rich transparent color</div><div>Instantly hydrating lips with smooth after feeling, gives rich transparent color</div></div><div><div>- With fruity scent<br/>- Cooling agent</div><div>Contain fruity scent and cooling agent to make the fresh feeling</div></div><div><div>Light feeling and not sticky</div><div>A lip liquid with light feeling and not sticky and easy to absorb formula</div></div></div><div><b>Characteristics Of Contents</b><br/><br/>- Formula : Light feeling texture, dewy finish look, fruity scent<br/>- Content Colors : Available 2 SKU<br/>- Feeling : Soft, light and sticky free.<br/>- Fragrance : fruity<br/>- Ratio Perfuming : 0.15%<br/>- Target Cost : Finish Good (Include Formula + Packaging, Unit Box Rp 11.811</div></div> |                                                |           |              |                              |                                                                                                                           |        |                |                |
|                                     | Request for content, production base, etc.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                |           |              |                              |                                                                                                                           |        |                |                |
| Request for design, container, etc. | <div><div><div>Container: Tube with Applicator (Brush / Silicon)</div></div><div><div>Piece Box : Carton Paper</div></div><div><b>Specific Package</b><br/><br/>- Form : Tube<br/>- Mold : Free Mold<br/>- Material Container : Plastic<br/>- Blister : carton &amp; plastik<br/>- Target Cost : Finish Good (Include Formula + Packaging, Unit Box Rp 11.811</div></div> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                |           |              |                              |                                                                                                                           |        |                |                |
| Item detail                         | New Product                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                | NET       | Price        | HPJ                          | Target COG                                                                                                                | COG(%) | Sales(3mth,dz) | Sales(1yr,pcs) |
|                                     | PIXY Lip Colour Hydrating Treatment A                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                | 4 g       | 45.000       | 25.067                       | 11.811,34                                                                                                                 | 47,12% | 1200           | 57600          |
|                                     | PIXY Lip Colour Hydrating Treatment B                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                | 4 g       | 45.000       | 25.067                       | 11.811,34                                                                                                                 | 47,12% | 1200           | 57600          |
|                                     | Distribution                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Modern Outlet : Supermarket, Hypermarket and Minimarket, Cosmetics and Drugs store, Online Store                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                |           |              |                              |                                                                                                                           |        |                |                |
| Competitor                          | Competitive or reference product(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Product name                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                | Net       | Retail price |                              | Reason(s) why a competitive product sells well                                                                            |        |                |                |
|                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 1. Zoya Lip Essence                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                | 3,5 g     | Rp52.000,00  |                              | Because this local product is one of brand that already play in lip treatment and got recommendation from beauty reviewer |        |                |                |
|                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 2. Mineral Bontanica Lip Serum                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                | 10 g      | Rp49.500,00  |                              | One of product that recommended by media for lip treatment                                                                |        |                |                |
| Others                              | OEM Finish Good: COSMAX Indonesia                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                |           |              |                              |                                                                                                                           |        |                |                |
| Outline of schedule                 | Determination of formula                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | W1 Oct 2020                                    |           |              | Notification of application  |                                                                                                                           |        | W4 Nov 2020    |                |
|                                     | Decide design for free mold                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | W3 Nov 2020                                    |           |              | Submission of Final art work |                                                                                                                           |        | W3 Jan 2021    |                |
|                                     | Final name                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | W1 Nov 2020                                    |           |              | Sales sample                 |                                                                                                                           |        | W4 March 2021  |                |
|                                     | Issuance of complete ingredient list                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | W2 Jan 2021                                    |           |              | Launch date                  |                                                                                                                           |        | W4 May 2021    |                |

30/08/2020